

SchoolStack Budget

Lender-Ready Financial Packet

Bright Horizons Microschool

5-Year Financial Model
Prepared March 25, 2026

Lender Readiness: Strong

This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Packet Contents

1. Executive Summary
2. School Overview
3. Enrollment Plan
4. Revenue Model
5. Staffing Plan
6. Expense Summary
7. Capital & Debt
8. 5-Year Financial Projection
9. Cash Flow Analysis
10. Debt Service Coverage
11. Stress Testing
12. Lender Readiness
13. Financial Health Assessment
14. Key Risks
15. Appendix: Key Assumptions

This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Executive Summary

Bright Horizons Microschool projects \$392,673 in Year 5 revenue with a 61.1% profit margin. The model tells a strong financial story with 8 of 10 key metrics in healthy range, a great foundation for your mission.

- [] Lender Readiness: Strong
- [] Biggest Strength: Strong Year 5 profit
- [] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
- [] Cash Runway: 60+ months

School Overview

Bright Horizons Microschool is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Microschool**
Funding Profile
Entity Type **LLC (Single Member)**
State **TX**
Opening Year —

Enrollment Plan

Enrollment starts at 15 students in Year 1 and grows to 40 by Year 5 (167% growth).

Enrollment by Year

Year	Students
Year 1	15
Year 2	22
Year 3	30
Year 4	35
Year 5	40

Supporting Assumptions

Year 1 Enrollment **15**
Year 2 Enrollment **22**
Year 3 Enrollment **30**
Year 4 Enrollment **35**
Year 5 Enrollment **40**

Revenue Model

The revenue model is tuition-driven (76.1% of Year 1 revenue). Year 1 total revenue is projected at \$168K, growing to \$393K by Year 5.

[] Tuition %: 76.1%
[] Public Funding %: 0.0%
[] Philanthropy %: 23.9%

Revenue by Year

Year	Total Revenue
Year 1	\$168K
Year 2	\$223K
Year 3	\$291K
Year 4	\$337K
Year 5	\$393K

Supporting Assumptions

Annual Tuition **\$128K**
Community Donations **\$25K**
Startup Grant **\$15K**

Staffing Plan

Staffing costs are \$74K in Year 1, representing 43.9% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 43.9%

Supporting Assumptions

Lead Teacher / Founder **\$52,000, 1 FTE**
Assistant Teacher **\$28,000, 0.75 FTE**
Part-Time Aide **\$18,000, 0.5 FTE**

Expense Summary

Total expenses grow from \$109K in Year 1 to \$124K by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$74K	\$30K	\$6K	\$109K
Year 2	\$88K	\$21K	\$6K	\$115K
Year 3	\$88K	\$24K	\$6K	\$118K
Year 4	\$88K	\$27K	\$6K	\$121K
Year 5	\$88K	\$30K	\$6K	\$124K

Capital & Debt

The model includes 1 debt instrument totaling \$25K.

Supporting Assumptions

Microschool Microloan **\$25K at 6.0% for 5 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$269K (68.4% margin).

- [+] Revenue per Student (Year 1): \$11,167 (benchmark: Private avg: \$12,000–\$25,000)
- [+] Staffing Cost (% of Revenue): 43.9% (benchmark: Industry avg: 50–65% of revenue)
- [~] Operating Cost (% of Revenue): 33.6% (benchmark: Target: under 30% of revenue)
- [+] Profit margin (Year 1): 22.5% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Profit margin (Year 5): 61.1% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 134.4% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 100.0% (benchmark: Optimal: 80–95% utilization)
- [+] Debt Service Coverage Ratio (Year 1): 3.12x (benchmark: Healthy minimum: 1.25x)

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	15	\$168K	\$109K	\$59K	34.9%
Year 2	22	\$223K	\$115K	\$108K	48.5%
Year 3	30	\$291K	\$118K	\$172K	59.2%
Year 4	35	\$337K	\$121K	\$216K	64.1%
Year 5	40	\$393K	\$124K	\$269K	68.4%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection.

[] Cash Runway: 60+ months

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$38K	3.5 months
Year 2	\$119K	10.1 months
Year 3	\$264K	21.8 months
Year 4	\$452K	36.4 months
Year 5	\$692K	54.5 months

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 3.12x.
Benchmark: Healthy minimum: 1.25x.

- [+] Debt Service Coverage Ratio (Year 1): 3.12x (benchmark: Healthy minimum: 1.25x)
- [+] Year 1 Reserve Months: 3.5 months (benchmark: Target: 3+ months)
- [+] Year 2 Reserve Months: 10.1 months (benchmark: Target: 3+ months)
- [+] Year 3 Reserve Months: 21.8 months (benchmark: Target: 3+ months)
- [+] Year 4 Reserve Months: 36.4 months (benchmark: Target: 3+ months)
- [+] Year 5 Reserve Months: 54.5 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **3.12x**
Benchmark: **Healthy minimum: 1.25x**
Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve Analysis

Year	Reserve Months	Status
Year 1	3.5 months	Adequate
Year 2	10.1 months	Adequate
Year 3	21.8 months	Adequate
Year 4	36.4 months	Adequate
Year 5	54.5 months	Adequate

Stress Testing

All 5 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even
Enrollment 20% Below Plan	\$13K	\$167K	Year 1
Loss of Philanthropy	\$-2K	\$230K	Year 2
Occupancy +15%, Personnel +5%	\$33K	\$234K	Year 1
Revenue Delayed 3 Months	\$-4K	\$144K	Year 2
Interest Rate +2%	\$37K	\$240K	Year 1

Lender Readiness

Lender Readiness: Strong. This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

- [+] Readiness Level: Strong

Financial Health Assessment

Across 7 health dimensions: 7 healthy, 0 on watch, 0 at risk.

- [+] viability: Healthy
- [+] liquidity: Healthy
- [+] staffing burden: Healthy
- [+] facility burden: Healthy
- [+] debt affordability: Healthy
- [+] revenue concentration: Healthy
- [+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 44% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 15% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 3.12x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Reserve Strength	Healthy	54.5 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

1 risk factor has been identified. None are rated critical, but each should have a documented mitigation plan.

- [+] Enrollment growth needs demand evidence: medium

MEDIUM

Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Evidence: Year 1: 15 students | Year 2: 22 students | Year 3: 30 students | Year 4: 35 students | Year 5: 40 students | Capacity: 40

Mitigation: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

- [+] Enrollment growth needs demand evidence: medium

See Appendix for complete assumption details.

Appendix: Key Assumptions

Complete list of 16 assumptions used in this financial model.

Supporting Assumptions

School Name **Bright Horizons Microschool**

School Type **Microschool**
Entity Type **LLC (Single Member)**
Funding Profile
State **TX**
Year 1 Enrollment **15**
Year 2 Enrollment **22**
Year 3 Enrollment **30**
Year 4 Enrollment **35**
Year 5 Enrollment **40**
... and 6 more (see Appendix)

